



CLEAR EXAMS

CURRENT AFFAIRS

— DAILY DIGEST —

22 SEPTEMBER 2026

POLITY • ECONOMY • SCIENCE • ENVIRONMENT • INTERNATIONAL RELATIONS



— READ • REVISE • SUCCEED —

SOUTH KOREA'S PENSION GIANT EYES INDIA'S G-SECS

A STRONGER TOMORROW
THROUGH DEEPER
FINANCIAL TIES

PEOPLE
CAPITAL
STABILITY
SHARED
PROSPERITY

CAPITAL
CONNECTS
OPPORTUNITIES

National Pension Service (NPS)



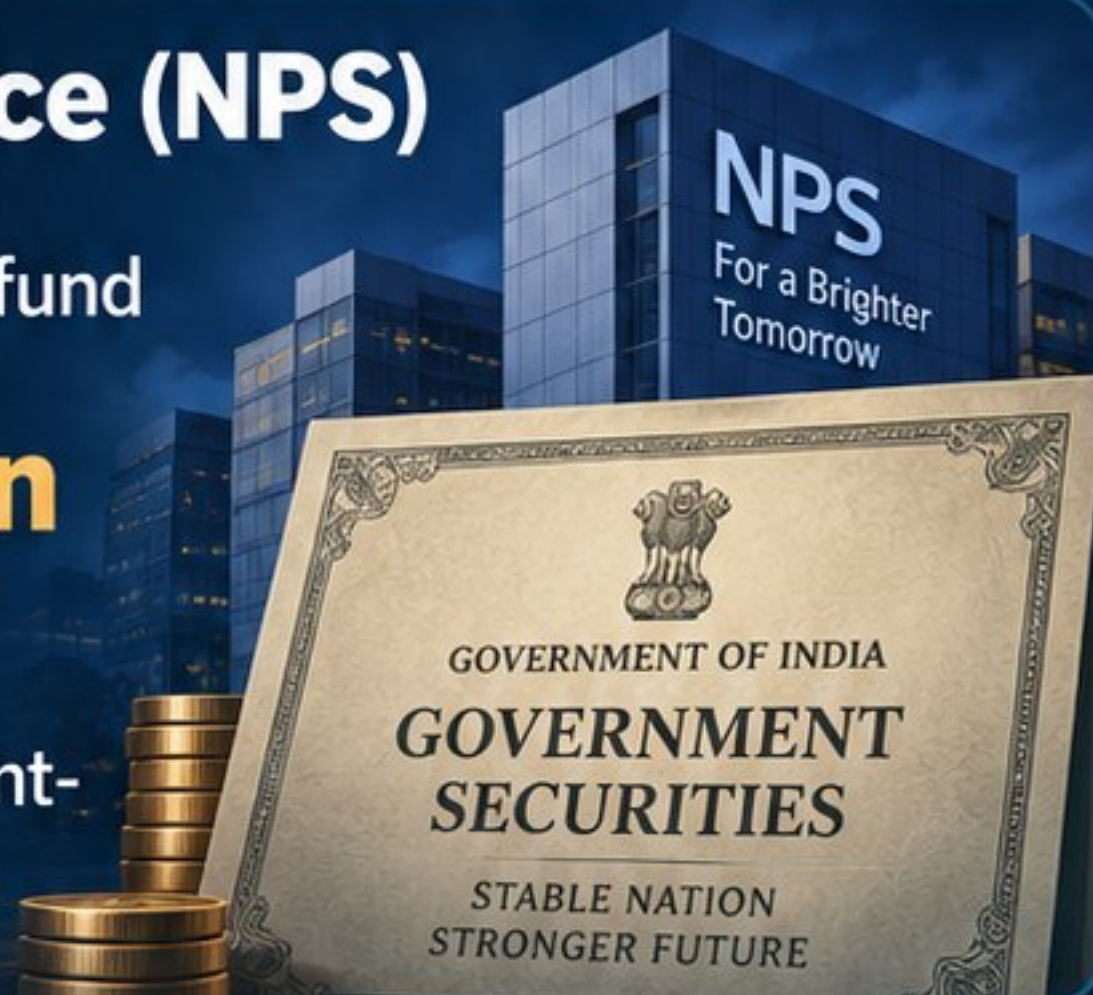
South Korea's state pension fund



Over **US\$1.3 trillion**
in assets



Seeking an Indian government-
bond investment licence



SIMPLIFIED SEBI ROUTE

For low-risk foreign investors such as pension and
sovereign wealth funds:

LONG-TERM
CAPITAL
A BRIGHTER
INDIA



Documentation cycle: **10 years** instead of 3



No end-investor disclosure
for G-sec-only investments



Designed to ease entry of stable, long-term capital

EXAM CONCEPTS



G-sec =
sovereign debt issued
by government



FPI =
foreign investment
in Indian financial
assets



Licence sought ≠
investment
completed

RBI HALVES BANKING LIQUIDITY SURPLUS

STABILITY
TRUST
GROWTH
A STRONGER
INDIA

SOUND
MONEY
BRIGHTER
TOMORROWS

₹11.16
lakh crore
RECORD SURPLUS

↓ 55%

₹4.92
lakh crore
CURRENT SURPLUS

EXCESS LIQUIDITY
TODAY
A MORE STABLE
TOMORROW

PRUDENT
LIQUIDITY
FOR A
STRONGER
TOMORROW

HOW LIQUIDITY WAS ABSORBED

OPEN-MARKET SALES



RBI sells government securities → money moves out of banks

FX SWAPS



Foreign-exchange operations absorb rupee liquidity

REVERSE REPOS



Banks park surplus funds with RBI
₹3.4 lakh crore parked

RECENT BOND ACTION



₹75,000 crore sold
₹25,000 crore more planned

WHY IT MATTERS



Reduces excess money in the banking system



Helps contain inflationary pressure



Improves transmission of policy rates



Liquidity absorption ≠ repo-rate increase



EXAM CONCEPTS



OMO sale → absorbs liquidity



OMO purchase → injects liquidity



RBI is India's monetary authority

A STABLE
FINANCIAL SYSTEM
FUELS A STRONGER INDIA

STATE FINANCES: FOUR NEW PRESSURES

Finance Ministry background paper • 22 September 2026



*Stronger States
A Stronger India*



AGEING

Median age:
29 → 37 by 2047

Old-age
dependency:
11.1% → 20%

Pressure:
health care &
pensions



AI & AUTOMATION

Invest in skills
and digital
systems

Use DBT to
reduce overlaps
and leakages



URBANISATION

More spending
on housing,
transport
and essential
city services



CLIMATE RISK

Build resilience
in agriculture,
water and urban
infrastructure



STATES ≈ TWO-THIRDS OF GOVERNMENT SPENDING

India needs about 8% annual real growth
for the 2047 developed-economy goal



A FOCUSED RESPONSE



Broaden
revenue base



Improve
compliance



Climate-budget
tagging



Protect productive
capital spending